



M-77-341

RECEIVED

MAR 03 1997

TRANSFER OF PERMIT AND SUCCESSION OF OPERATORS - Basic Geology
APPLICATION FORM

The application for a Transfer of Permit and Succession of Operators must contain four (4) major parts: 1) an Application Form; 2) an Application Fee; 3) a Performance Warranty (attached as part of the Application Package) bearing the original notarized signature of the Successor Operator; and, 4) a replacement Financial Warranty provided by the Successor Operator, bearing an original notarized signature. To expedite processing, please provide the information in the format and order described below.

I. FINANCIAL WARRANTY INFORMATION (Choose ONE Option):1. Option A: _____
(Initial & Date)

I wish to WAIVE MY RIGHT to a 30-day processing time to allow the Division of Minerals and Geology to recalculate the Financial Warranty requirements.

2. Option B: X _____
(Initial & Date)

I DO NOT WISH TO WAIVE MY RIGHT to a 30-day processing time. I hereby submit a replacement Financial Warranty for the same dollar amount as the Financial Warranty maintained by the current operator. I understand that the Division of Minerals and Geology will recalculate the required reclamation bond within 60-days from the decision date and the required FINANCIAL WARRANTY COULD BE SUBSTANTIALLY INCREASED at that time. As the new operator, I agree to be responsible for posting any required increase to the financial warranty for good cause shown, in a form acceptable to the Board, within 60-days of such notice.

SO APPROVED
BY gdc 3/5/97

II. ADMINISTRATIVE INFORMATION:

1. Permit Number: 77-341

2. Operation Name: Larimer Quarry (Parrish)

3. Current Permitted Operator:

Contact Person:	<u>John Lohr</u>
Company Name:	<u>Southwestern Cement Enterprises, Inc.</u>
Street:	<u>P. O. Box 529</u>
City:	<u>Lyons</u>
State:	<u>Colorado</u> Zip Code: <u>80540</u>
Area Code:	<u>303</u> Telephone: <u>823-2100</u>

4. Successor Operator:

Contact Person:	<u>John Lohr</u>
Company Name:	<u>Southdown, Inc.</u>
Street:	<u>P. O. Box 529</u>
City:	<u>Lyons</u>
State:	<u>Colorado</u> Zip Code: <u>80540</u>
Area Code:	<u>303</u> Telephone: <u>823-2100</u>
IRS Tax ID No. or Social Security No.:	<u>[REDACTED]</u>

5. Application Fee: \$100.00 *Waived*
bdc
2/7/97

Make check payable to the Division of Minerals and Geology

- III. 1. Yes: X As the successor operator do you have a complete copy, as
is available, of the approved reclamation application to
No: include any permit modifications?

A copy of the approved application and any modifications to the permit may be purchased through the Division. Unless you specify which portions of the permit file you want copied the entire file will be copied. The Division will send the entire file, or portions you specify, to an outside vendor and you will be billed accordingly.

2. Yes: X Have you verified that the permit area you are assuming
reclamation responsibility for is the area described in the
No: approved permit application?
3. Yes: X Have you verified that you have legal right of entry to
conduct mining and reclamation?
No:

IV. RECITALS

1. On Sept. 26, 1984 Permit Number 77-341 was granted to Southwestern Cement Enterprises, Inc. (existing operator) ("Permittee"), pursuant to which Permittee has been conducting a mining operation in the County of Larimer, State of Colorado.
2. Permittee wishes to assign the permit to Southdown, Inc. (new operator), as Successor Operator ("Successor") and Successor wishes to become Successor Permittee under the permit.
3. Successor understands that the reclamation plan (the "Plan") required by the permit and by applicable State laws and regulations has not been completed and is willing to assume full responsibility for the completion of the Plan.

V. AGREEMENTS

Permittee and Successor hereby agree, for their own benefit and for the benefit of the State, such agreements to be effective ipso facto upon the approval by the State of the transfer of the Permit from Permittee to Successor, as follows:

1. Successor has inspected the mining and reclamation operations to its entire satisfaction and is fully aware of the conditions thereof. Successor understands and accepts all of the conditions of the Permit.
2. Successor will complete the reclamation plan, and hereby assumes liability for completing such plan as to all areas heretofore disturbed, as well as to all areas hereafter disturbed. Successor will perform all of the obligations of the Permittee under the Permit which have not heretofore been performed by Permittee.
3. Successor hereby tenders to the State its attached Performance and Financial Warranties*, which are to be substituted for the Performance and Financial Warranties heretofore filed by the Permittee, effective upon the release of the latter Warranties.
4. Successor represents to the State that, to the best of its knowledge, information and belief, it is not in violation of any of the provisions of the Colorado Mined Land reclamation Act with respect to any other operation conducted by it in the State of Colorado.

Permittee and Successor hereby request the State to consent to the assignment of the Permit, to recognize Successor as Successor Operator under the Permit, and to accept the tendered substitute Performance and Financial Warranties in place of the Warranties presently on file with the State.

PERMITTEE

Southwestern Cement Enterprises, Inc.

Name of Permittee

By

Wendell E. Phillips, II
Signature of Officer

Wendell E. Phillips, II
Secretary

Title of Officer

SUCCESSOR OPERATOR

Southdown, Inc.

Name of Successor

By

Wendell E. Phillips, II
Signature of Officer

Wendell E. Phillips, II
Asst. Secretary

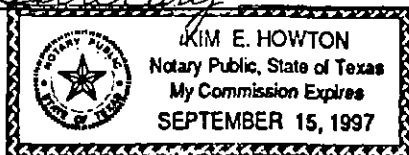
Title of Officer

NOTARY FOR PERMITTEE

State of Texas)

County of Harris)

The foregoing instrument was acknowledged before me this 28th day of February, 1997, by Wendell E. Phillips, II as Secretary of Southwestern Cement Enterprises, Inc.



Notary Public

Kim E. Howton

My Commission Expires

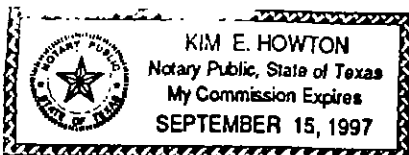
9/15/97

NOTARY FOR SUCCESSOR

State of Texas)

County of Harris)

The foregoing instrument was acknowledged before me this 28th day of February, 1997, by Wendell E. Phillips, II as Asst. Secretary of Southdown, Inc.



Notary Public

Kim E. Howton

My Commission Expires

9/15/97

CONSENT OF STATE

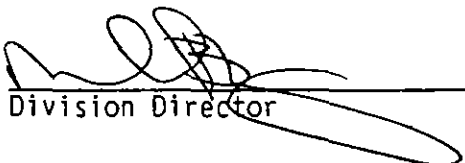
EXECUTED this 5th day of March, 1997

(a) Consent is hereby granted to the transfer of the Permit referred to from Southwestern Cement Enterprises, Inc. to Southdown, Inc.

(b) Southdown, Inc.
is hereby recognized as Successor Operator under such Permit.

(c) The Performance and Financial Warranty substitution above proposed is hereby accepted and approved.

STATE OF COLORADO
DEPARTMENT OF NATURAL RESOURCES
MINED LAND RECLAMATION BOARD
DIVISION OF MINERALS AND GEOLOGY

By 
Division Director

(08/93)
3117F